



FIRST QUARTER 2021 EARNINGS REPORT PRESENTATION

APRIL 29, 2021

Safe Harbor

Except for the historical statements contained in this presentation, the matters discussed herein are forward-looking statements that are subject to certain risks, uncertainties and assumptions. Such forward-looking statements, including the 2021 EPS guidance, long-term EPS and dividend growth rate objectives, future sales, future expenses, future tax rates, future operating performance, estimated base capital expenditures and financing plans, projected capital additions and forecasted annual revenue requirements with respect to rider filings, expected rate increases to customers, expectations and intentions regarding regulatory proceedings, and expected impact on our results of operations, financial condition and cash flows of resettlement calculations and credit losses relating to certain energy transactions, as well as assumptions and other statements are intended to be identified in this document by the words “anticipate,” “believe,” “could,” “estimate,” “expect,” “intend,” “may,” “objective,” “outlook,” “plan,” “project,” “possible,” “potential,” “should,” “will,” “would” and similar expressions. Actual results may vary materially. Forward-looking statements speak only as of the date they are made, and we expressly disclaim any obligation to update any forward-looking information. The following factors, in addition to those discussed in Xcel Energy’s Annual Report on Form 10-K for the fiscal year ended Dec. 31, 2020 and subsequent filings with the Securities and Exchange Commission, could cause actual results to differ materially from management expectations as suggested by such forward-looking information: uncertainty around the impacts and duration of the COVID-19 pandemic; operational safety, including our nuclear generation facilities; successful long-term operational planning; commodity risks associated with energy markets and production; rising energy prices and fuel costs; qualified employee workforce and third-party contractor factors; ability to recover costs, changes in regulation and subsidiaries’ ability to recover costs from customers; reductions in our credit ratings and the cost of maintaining certain contractual relationships; general economic conditions, including inflation rates, monetary fluctuations and their impact on capital expenditures and the ability of Xcel Energy Inc. and its subsidiaries to obtain financing on favorable terms; availability or cost of capital; our customers’ and counterparties’ ability to pay their debts to us; assumptions and costs relating to funding our employee benefit plans and health care benefits; our subsidiaries’ ability to make dividend payments; tax laws; effects of geopolitical events, including war and acts of terrorism; cyber security threats and data security breaches; seasonal weather patterns; changes in environmental laws and regulations; climate change and other weather; natural disasters and resource depletion, including compliance with any accompanying legislative and regulatory changes; and costs of potential regulatory penalties.

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2021 Q1 Financial & Operational Highlights

- Reaffirmed 2021 earnings guidance of \$2.90 to \$3.00 per share
- Proposed \$210 million buy out of 120 MW repowered wind PPA in Minnesota
- Proposed \$575 million 460 MW solar facility in Minnesota
- Proposed \$1.7 billion Pathway transmission expansion plan in Colorado
- Proposed Colorado resource plan that achieves 85% carbon reduction by 2030
- Closed on acquisition of 99 MW Mower wind farm PPA buy out and repowering
- Raised annual dividend by 11 cents (6.4%) - 18th consecutive annual increase
- External recognition:
 - Named one of World's Most Admired Companies by Fortune Magazine
 - Named one of World's Most Ethical Companies® by Ethisphere
 - Earned perfect score on Human Rights Campaign's 2021 Corporate Equality Index

Storm Uri Impacts

Maintained Reliability, Managing Customer Bill Impacts

Company	Estimated Storm Impact (\$ Millions)			Total Average Resi Bill Impact	Average Monthly Resi Bill Impact
	Electric	Natural Gas	Total		
NSPM	(\$20)	\$250	\$230	\$250 - \$300	\$10 - \$13
PSCo	\$305	\$305	\$610	\$210 - \$220	\$8 - \$9
SPS	\$80	N/A	\$80	\$50 - \$60	\$2 - \$3
NSPW	---	<u>\$45</u>	<u>\$45</u>	\$180	\$20
Total	\$365	\$600	\$965		

NSPW costs approved and being recovered April - December 2021

Other Op Cos reflect preliminary net impacts, including system sales benefits, and proposed monthly bill impacts

NSPM and PSCo bill impacts reflect combination natural gas and electric customers

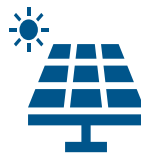
Proposed Incremental Projects

~\$785 Million in Additional Wind and Solar



Allete Wind Repowering (~\$210 million)

- ~120 MW
- MPUC filing 2021 Q1
- Decision requested 2021 Q3



Solar (~\$575 million)

- ~460 MW universal scale
- MPUC filing April 2021
- Decision requested 2021 2H

(\$ Millions)	2021	2022	2023	2024	2025	Total
Sherco Solar	\$10	\$170	\$215	\$180	\$0	\$575
Allete Wind PPA Buyout	\$25	\$185	\$0	\$0	\$0	\$210
Total	\$35	\$355	\$215	\$180	\$0	\$785

The incremental forecast excludes a significant portion of the proposed CO Pathway transmission expansion
Incremental capital expected to be financed with ~50% equity and ~50% debt

Proposed Colorado Resource Plan

85% Carbon Reduction by 2030 & Coal Exit by 2040



Full coal exit by 2040

- Hayden 1 & 2 (233 MW) retire 2028/2027
- Pawnee (505 MW) conversion to natural gas in 2028
- Comanche 3 (500 MW) retire 2040; reduced operations begin 2030



Firm peaking capacity

- Flexible resources (~1,300 MW)
- Storage (~400 MW)



Significant renewable additions

- Wind (~2,300 MW)
- Universal scale solar (~1,600 MW)
- Distributed solar (~1,200 MW)



Transmission expansion

CPCN to enable additional renewables while improving reliability

March 2021
Filed



2021 Q4
Anticipated decision



Post-2025
Investment begins

Proposed Minnesota Resource Plan

80% Carbon Reduction & Coal Exit by 2030



Full coal exit by 2030

- King (511 MW) retire 2028
- Sherco 3 (517 MW) retire 2030



Significant renewable additions

- Universal scale solar (3,500 MW)
- Wind (2,250 MW)



Firm peaking capacity (2,600 MW)
Essential for reliability



Nuclear extension (Monticello to 2040)
Natural gas CC (~800 MW) for reliability

June 2020
Updated filing

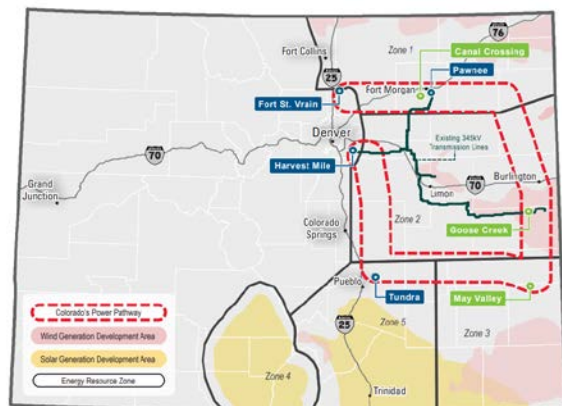


October - June 2021
Discovery/comments



2021 2H
Commission decision

Colorado Pathway Transmission Expansion



Transmission Backbone

- Enables ~5,500 MW of renewable generation
- ~560 miles of 345 kV lines; three new, four expanded substations
- Potential ~\$1.7 billion investment
- CPCN filing March 2021; decision anticipated 2021 Q4

Estimated Investment (\$ millions)

	2021 - 2025	2026 - 2027	Total
Included in base forecast	\$600		\$600
Incremental opportunity	\$700	\$400	\$1,100
Total	\$1,300	\$400	\$1,700

Additional Opportunities

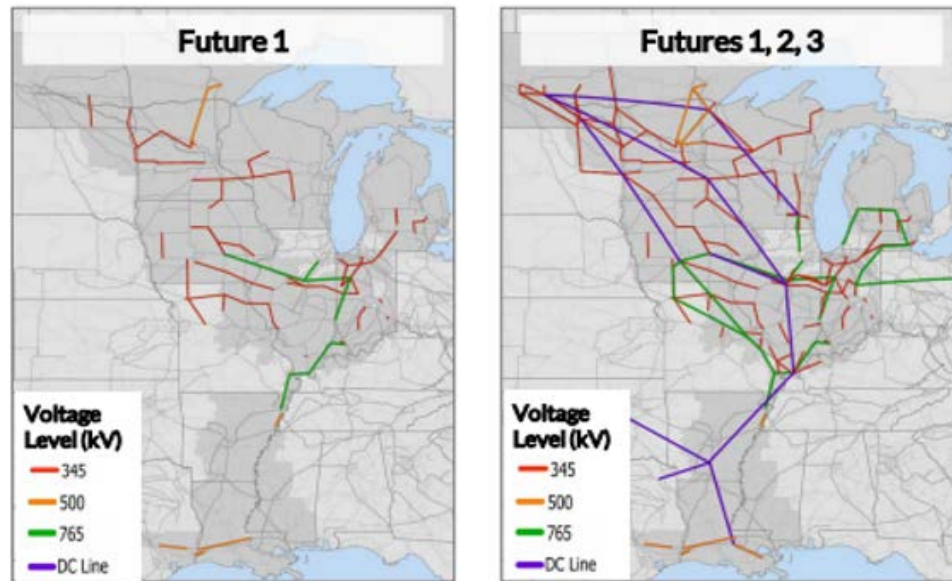
Potential for \$0.5 - \$1 billion investment in optional transmission expansion in the CPCN (\$300 million), network upgrades, voltage support and interconnection work depending on resource mix/location

MISO Transmission Outlook

MISO recently released a long-range potential transmission planning roadmap:

- Analyzes three potential futures with up to 50% renewables by 2039
- Recognizes urgency for significant expansion over next ~15 years
- Highlighted initial set of projects with preliminary estimate of ~\$30 billion; potential full rollout up to \$100 billion
- ~87 GW currently in MISO queue, primarily solar and wind

Indicative Transmission Development in MISO



Source: MISO

2021 Q1 ESG Highlights



Environmental

- Proposed **Colorado coal exit by 2040**
- Launched **Carbon-Free Technology Initiative** with EEI to advance policy, research and funding
- Issued additional **green bonds** to fund our wind program



Social

- Committed \$350,000 to **advance racial equity**, support COVID-19 relief and **rebuild communities** following civil unrest
- Named a **Best Place to work for LGBTQ Equality**, earning 100% on Human Rights Campaign's Equality Index for the 5th year



Governance

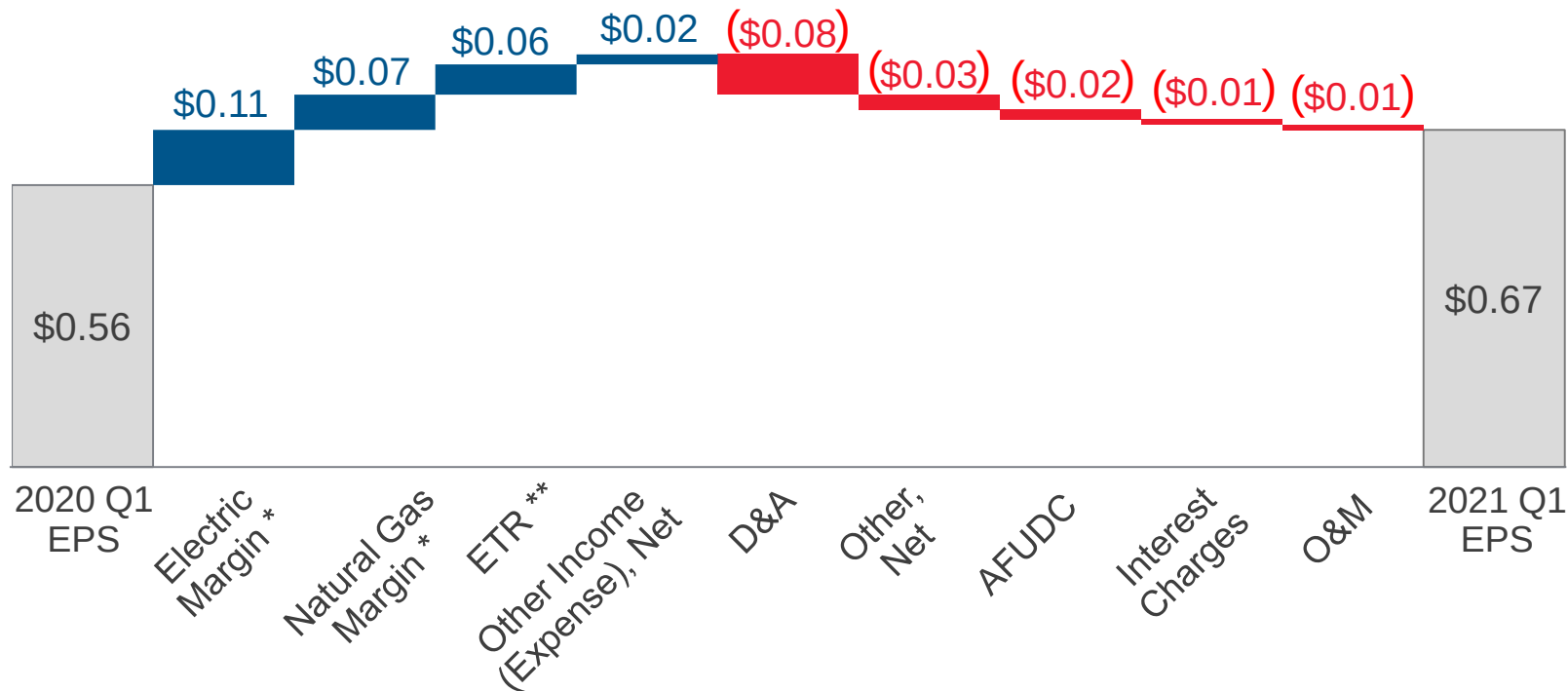
- Introduced **D&I metric tied to incentive pay**
- Named by Ethisphere as one of the World's **Most Ethical Companies**® for the 2nd year
- Named among the World's **Most Admired Companies** by Fortune for the 8th year

EPS Results by Operating Company

Operating Company	First Quarter	
	2021	2020
PSCo	\$ 0.31	\$ 0.24
NSPM	0.24	0.20
SPS	0.11	0.08
NSPW	0.06	0.06
Equity earnings	0.01	0.01
Regulated utility	0.73	0.60
Holding company and other	(0.06)	(0.04)
Total GAAP and ongoing diluted EPS	\$ 0.67	\$ 0.56

Amounts may not sum due to rounding

Quarterly GAAP and Ongoing EPS Change

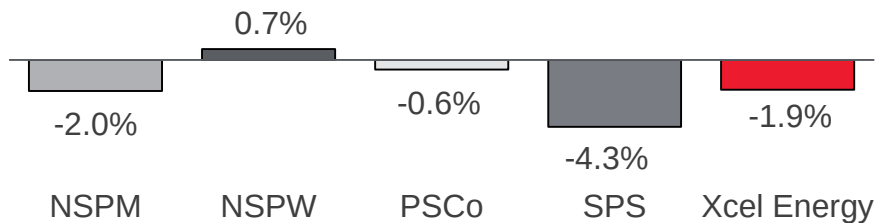


* Combined electric and natural gas margins include ~\$0.02 of positive weather impacts (post decoupling)

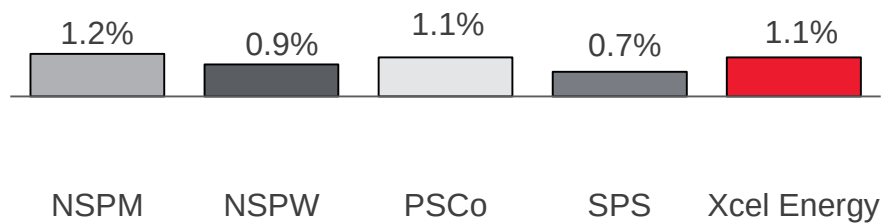
** Includes PTCs and plant regulatory amounts, which are primarily offset in electric margin

Sales and Customer Data

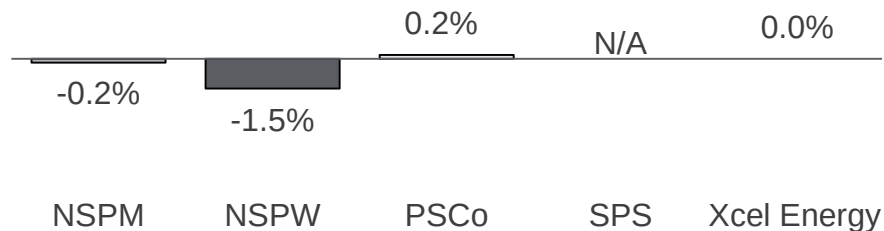
2021 Q1 W/A Retail Electric Sales Growth
(leap year adjusted)



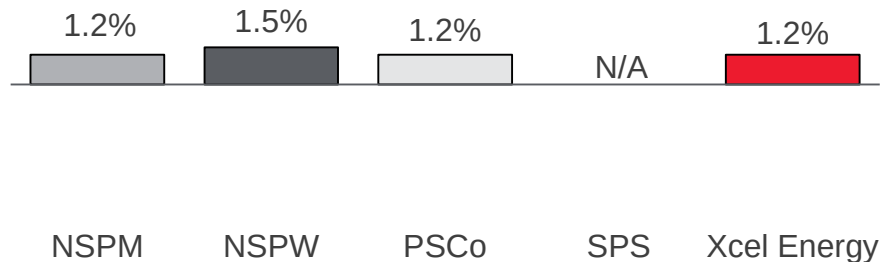
2021 Q1 YoY Electric Customer Growth



2021 Q1 W/A Natural Gas Sales Growth
(leap year adjusted)



2021 Q1 YoY Natural Gas Customer Growth



SPS New Mexico Electric Rate Case

Case No. 20-00238-UT

- In January 2021, SPS filed a required electric case:
 - Requesting rate increase of ~\$88 million, or net increase of \$48 million (reflecting fuel savings and PTCs from Sagamore wind farm)
 - ROE of 10.35% and equity ratio of 54.72%
 - Retail rate base of ~\$1.9 billion
 - HTY ended September 30, 2020, including capital additions through February 2021
 - Changes to depreciation rates to reflect early retirement of the Tolk coal plant and Harrington plant coal handling assets due to conversion to natural gas
- A decision is expected 2021 Q4

SPS Texas Electric Rate Case

Docket No. 51802

- In February 2021, SPS filed a required electric case:
 - Requesting base rate increase of ~\$143 million, or net increase of \$74 million (reflecting fuel savings and PTCs from Sagamore wind farm)
 - ROE of 10.35% and equity ratio of 54.60%
 - Retail rate base of ~\$3.3 billion
 - HTY ended December 31, 2020
 - Changes to depreciation rates to reflect early retirement of the Tolk coal plant and Harrington plant coal handling assets due to conversion to natural gas
- A decision is expected 2022 Q1

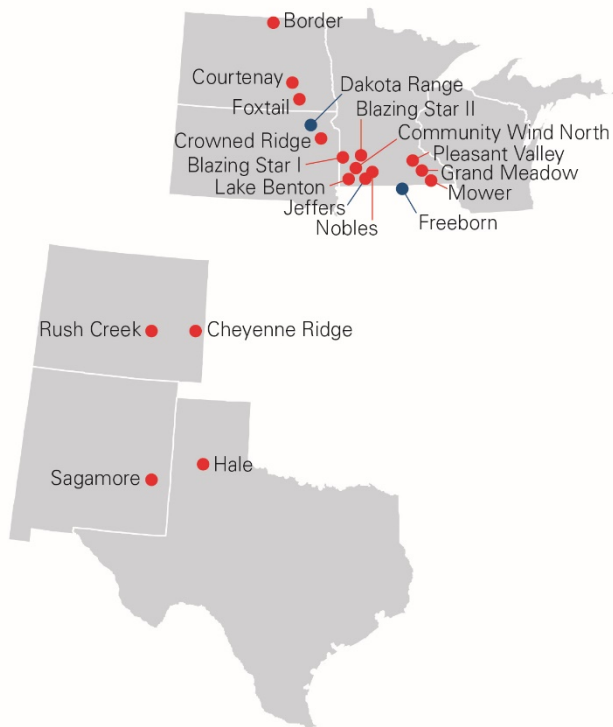
NSPM North Dakota Electric Rate Case

Case No. PU-20-441

- In November 2020, NSPM filed an electric rate case:
 - Requesting rate increase of \$19 million
 - ROE of 10.2% and equity ratio of 52.5%
 - Rate base of ~\$677 million
 - 2021 forecast test year
- Interim rates of \$13 million (subject to refund) implemented
- A decision is expected 2021 H2

Proven Strength in Wind Development

~4,000 MW of Owned Wind Now in Service



In Served Pre-2020	Capacity
Border	150 MW
Courtenay	200 MW
Grand Meadow	100 MW
Nobles	200 MW
Pleasant Valley	200 MW
Rush Creek	600 MW
Hale	478 MW
Lake Benton	100 MW
Foxtail	150 MW
Total	2,178 MW

In Served In 2020	Capacity
Blazing Star 1	200 MW
Cheyenne Ridge	500 MW
Crowned Ridge	200 MW
Sagamore	522 MW
Jeffers	44 MW
Community North	26 MW
Total	1,492 MW

To Be In Service 2021	Capacity
Mower	99 MW ✓
Blazing Star 2	200 MW ✓
Freeborn	200 MW
Dakota Range	300 MW
Total	799 MW

2021 GAAP & Ongoing EPS Guidance: \$2.90 – \$3.00

Earnings Drivers	Key Assumptions (as compared to 2020 levels unless noted)
Regulatory proceedings	Constructive outcomes in all proceedings
COVID-19	Modest impacts
Weather	Normal weather for remainder of year
W/A retail electric sales	Increase of approximately 1%
W/A retail firm natural gas sales	Relatively flat
Capital rider revenue (net of PTCs)	Increase of \$100 million - \$110 million
O&M expenses	Relatively flat
Depreciation expense	Increase of \$155 million - \$165 million; assumption change is largely earnings neutral, primarily reflecting deferrals and revenue recognition from the Texas rate case
Property taxes	Increase of \$40 million - \$50 million
Interest exp. (net of AFUDC-debt)	Increase of \$20 million - \$30 million
AFUDC-equity	Decline of \$40 million - \$50 million
Effective tax rate (net of PTCs)	Approximately (7%) to (8%)

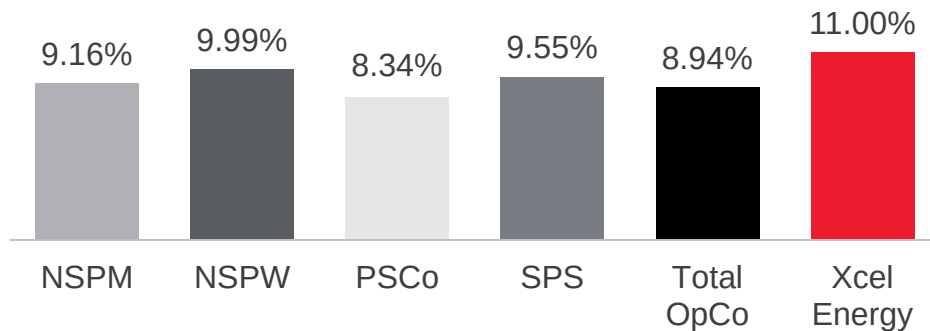
Ongoing earnings is calculated using net income and adjusting for certain nonrecurring or infrequent items that are, in management's view, not reflective of ongoing operations. Ongoing earnings could differ from those prepared in accordance with GAAP due to unplanned and/or unknown adjustments. Xcel Energy is unable to forecast if any of these items will occur or provide a quantitative reconciliation of the guidance for ongoing EPS to corresponding GAAP EPS.

APPENDIX

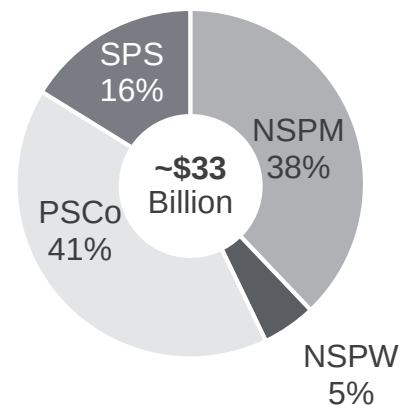
ROE Results – GAAP and Ongoing Earnings

GAAP and Ongoing ROE

Twelve Months Ended 3/31/2021



2020E Rate Base



2021 Debt Financing Base Plan

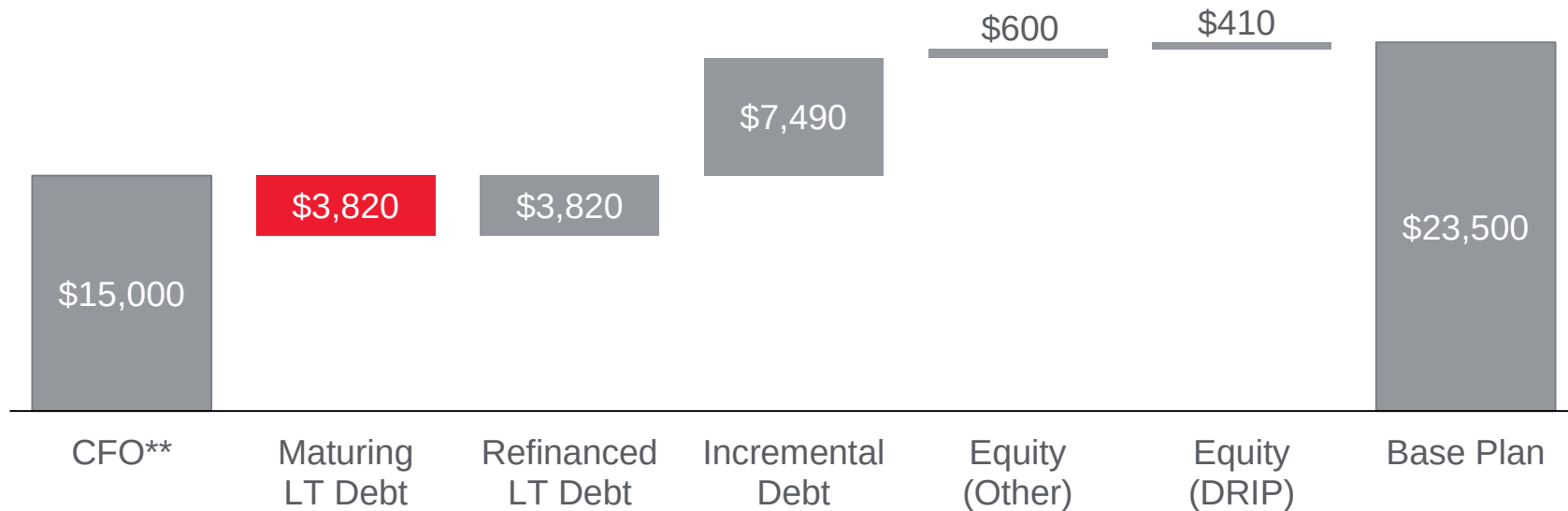
\$ Millions

Issuer	Security	Amount	Status	Tenor	Coupon
Hold Co	Unsecured Term Loan	\$1,200	Completed	1 Yr	N/A
PSCo	First Mortgage Bonds	\$750	Completed	10 Yr	1.875%
SPS	Green First Mortgage Bonds	\$250	Completed	29 Yr	3.15%
NSPM	Green First Mortgage Bonds	\$850	Completed	10 Yr (\$425) 31 Yr (\$425)	2.25% 3.20%
NSPW	First Mortgage Bonds	~\$125	Pending – Q2	N/A	N/A

Financing plans are subject to change, depending on capital expenditures, regulatory outcomes, internal cash generation, market conditions, changes in tax policies and other factors

Base Financing Plan 2021 – 2025*

\$ Millions



* Financing plans are subject to change

** Cash from operations is net of dividends and pension funding

Strong Credit Metrics

Plan	2021	2022	2023	2024	2025
FFO/Debt	~17%	~17%	~17%	~17%	~17%
Debt/EBITDA	4.9x	4.9x	4.8x	4.8x	4.9x
Equity Ratio	41%	41%	41%	41%	41%
Hold Co Debt/Total Debt	23%	23%	23%	23%	23%

Credit Ratings	Moody's	S&P	Fitch
Xcel Energy Unsecured	Baa1	BBB+	BBB+
NSPM Secured	Aa3	A	A+
NSPW Secured	Aa3	A	A+
PSCo Secured	A1	A	A+
SPS Secured	A3	A	A-

Credit metrics are based on five-year base capital plan and do not reflect rating agency adjustments

Credit metrics don't reflect incremental financing for Uri fuel costs, which are pending regulatory recovery decisions. The impact is temporary and expected to reverse upon regulatory recovery over the next few years.

Base Capital Expenditures by Function

\$ Millions

	2021	2022	2023	2024	2025	Total
Electric Distribution	\$1,205	\$1,440	\$1,550	\$1,505	\$1,475	\$7,175
Electric Transmission	\$870	\$1,285	\$1,285	\$1,270	\$1,290	\$6,000
Electric Generation	\$630	\$575	\$560	\$750	\$975	\$3,490
Natural Gas	\$615	\$615	\$665	\$670	\$625	\$3,190
Other	\$545	\$575	\$485	\$405	\$335	\$2,345
Renewables	\$610	\$255	\$165	\$270	\$0	\$1,300
Total	\$4,475	\$4,745	\$4,710	\$4,870	\$4,700	\$23,500

The base forecast excludes \$785 million for proposed NSPM Sherco solar and Allete wind PPA repowering/buy-out projects. The base capital forecast also excludes a significant portion of proposed CO Pathway transmission expansion.

Base Capital Expenditures by Company

\$ Millions

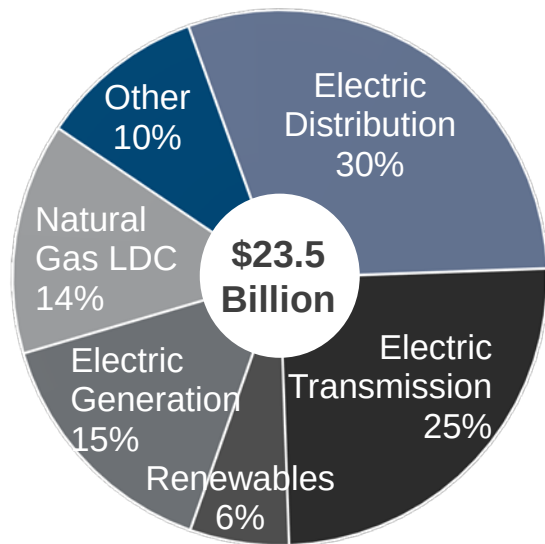
	2021	2022	2023	2024	2025	Total
NSPM	\$1,930	\$1,785	\$1,785	\$1,915	\$1,890	\$9,305
NSPW	\$360	\$430	\$395	\$515	\$470	\$2,170
PSCo	\$1,700	\$1,835	\$1,750	\$1,695	\$1,655	\$8,635
SPS	\$505	\$710	\$770	\$735	\$675	\$3,395
Other*	(\$20)	(\$15)	\$10	\$10	\$10	(\$5)
Total	\$4,475	\$4,745	\$4,710	\$4,870	\$4,700	\$23,500

* Includes intercompany transfers for safe harbor wind turbines

The base forecast excludes \$785 million for proposed NSPM Sherco solar and Allete wind PPA repowering/buy-out projects. The base capital forecast also excludes a significant portion of proposed CO Pathway transmission expansion.

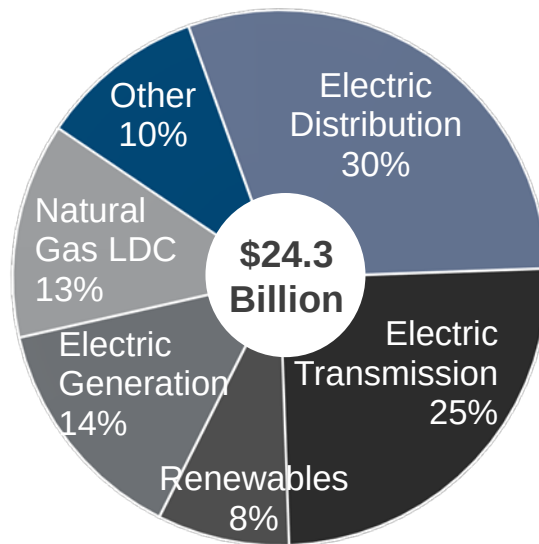
Robust Capital Forecast 2021 - 2025

Base Forecast



**Proposed
NSPM solar
and wind BOT**

Incremental Forecast



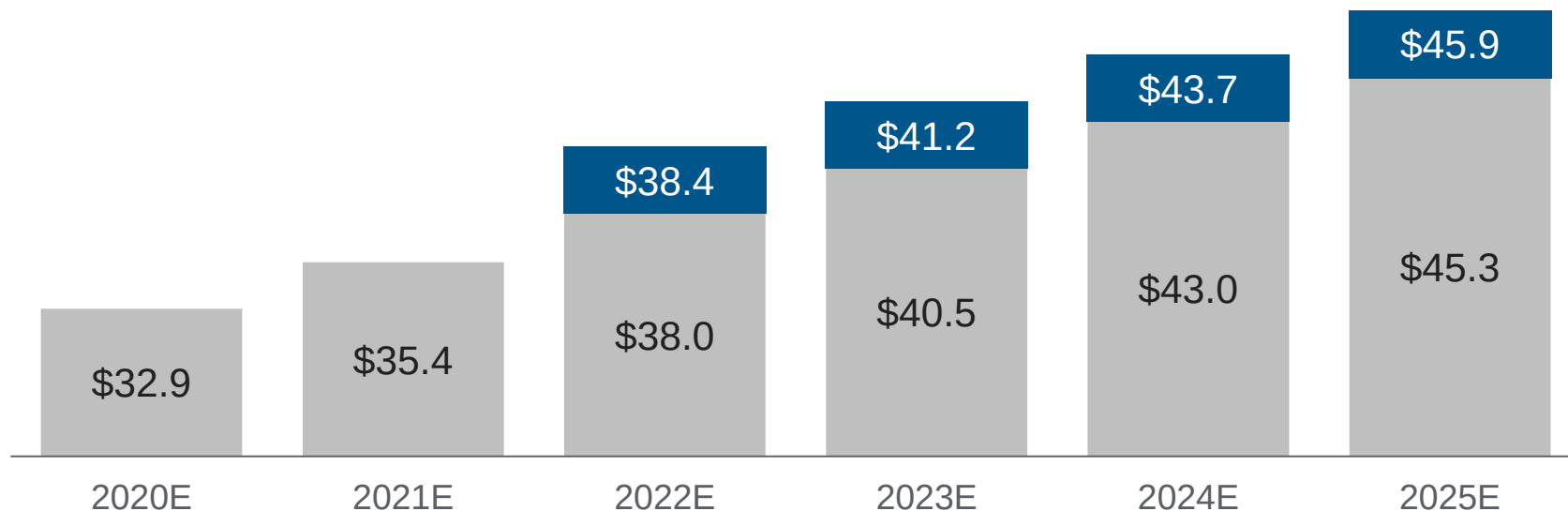
Incremental forecast excludes a significant portion of potential CO Pathway transmission expansion

Strong Rate Base Growth

\$ Billions

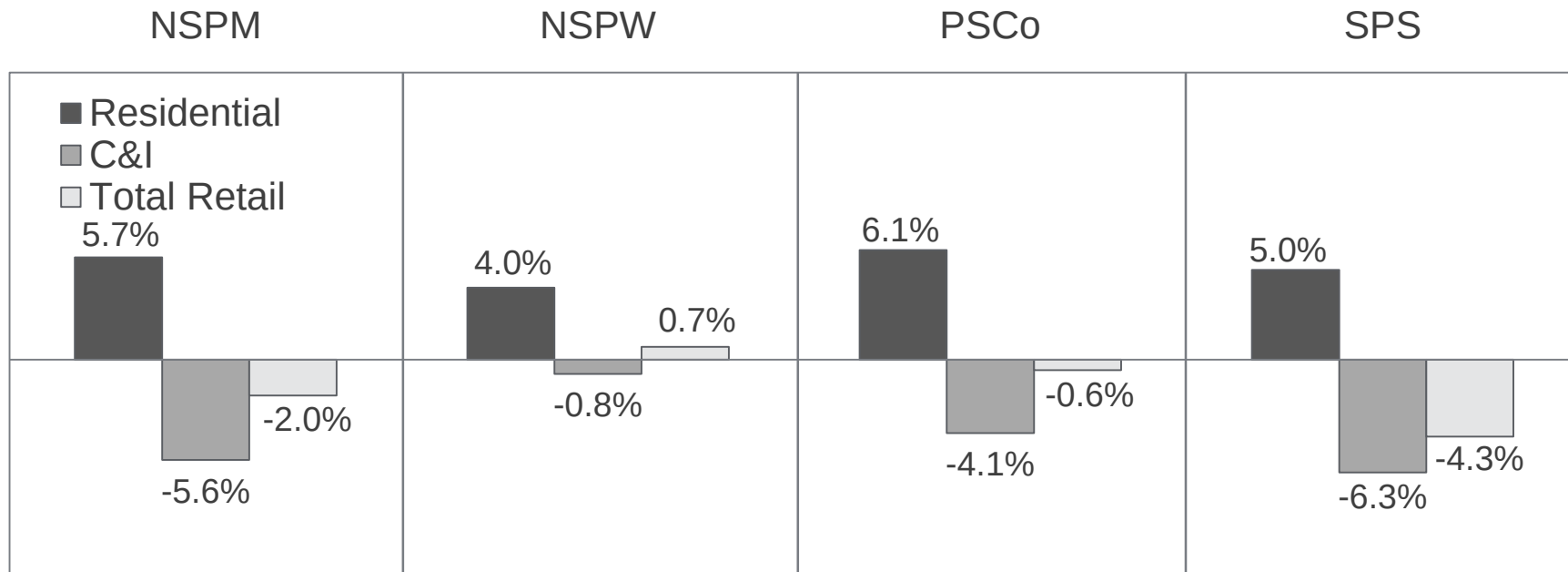
Incremental forecast: 2020 - 2025 CAGR: ~6.9%

Base forecast: 2020 - 2025 CAGR: ~6.6%



Incremental forecast includes proposed NSPM Sherco solar and Allele wind PPA repowering/buy-out; it excludes a significant portion of proposed CO Pathway transmission expansion

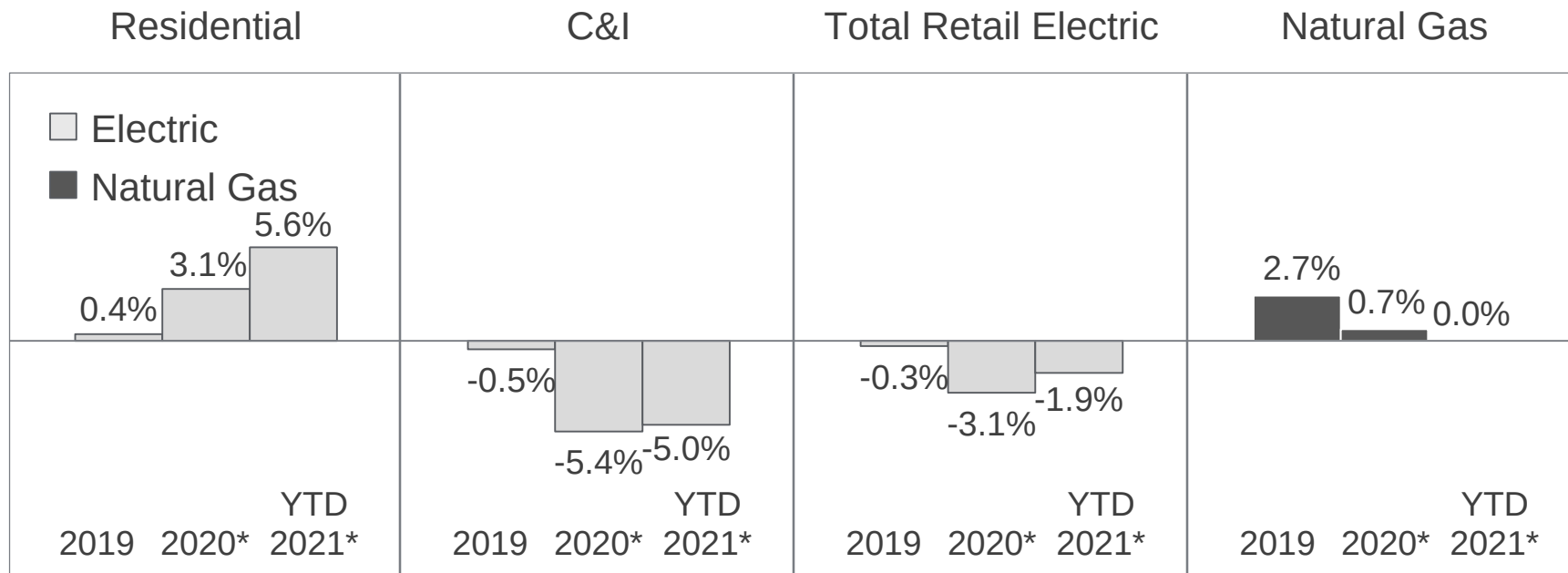
2021 Q1 W/A Electric Sales Growth



Leap year adjusted

Extreme weather variations, wind chill and cloud cover may not be reflected in growth (decline) estimates

Xcel Energy W/A Sales Growth



* Leap year adjusted

Extreme weather variations, wind chill and cloud cover may not be reflected in growth (decline) estimates

2021 Q2 Events

Virtual Events	Dates
Citi Utility Conference	May 12
AGA Financial Forum	May 19 - 20
Annual Meeting of Shareholders	May 19
RBC Utility Conference	June 8
JP Morgan Utility Conference	June 23
Capital International Yield Conference	June 24

